

bottom of the pattern). I counted how often price failed to rise more than 5%.

Average rise after D. The average rise from the low at point D to the ultimate high in bull markets needs work. It's below average. The bear market number, however, is above average for both Fibonacci-based and non-Fib patterns.

Volume trend, performance. I used linear regression on volume from point X to D to determine the trend. Keeping in mind that in bull markets, the average rise is 39%, crabs with volume trending upward see price rise an average of 41%. Downward volume trends are hurt more, when price rises just 36%.

Bear markets don't seem to care about the volume trend. Perhaps with additional samples, they'll take an interest.

Trading Tactics

As I mentioned, swing traders will want to participate in knowing when turn D is in place, and the math for the pattern can give you a clue (you can predict the price of turn D). Then, wait for the stock to bottom at D. Once the turn is in place, buy the stock and ride it higher. Here are some numbers for you to gauge performance.

[Table 20.3](#) shows how price behaves at and after the end of the pattern. Fibonacci patterns have two important features: Price reverses at D and forms a trend. How well do those features work for bullish crabs?

How often does price turn at D? Price turns upward most often in bull markets, as one would expect. The bear market is a slacker, when price bottoms at D 84% of the time. That's still a good turn rate.

How many rise to...? After price bottoms in well-behaved crabs, price rises, but how far? Here's where the results are weak in my view. The closest turn to bottom D is X. If you look back at the charts in this chapter, point X is not exactly close to D. So there's a substantial rise just to reach X. Remember that if price closes below D, then I take the highest peak between that point and D as the ultimate high.